

Europe TMT Sector M&A & Valuation Brief - 2026-04-27

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1. RECENT TMT M&A ACTIVITY

Deal 1: Cohere Acquisition of Aleph Alpha

[Why Cohere is merging with Aleph Alpha](#)

- Deal Size: \$20 billion (combined valuation)
- Deal Size Category: Large cap (>\$10B)
- Nature of Deal: Horizontal merger
- Valuation Multiples: N/A (specific multiples not disclosed)
- Companies:
 - Cohere (COHR) : A Canadian AI startup focused on large language models, previously valued at \$6.8 billion.
 - Aleph Alpha : A German AI company specializing in language models, currently facing strategic challenges.
- Date Announced: April 25, 2026
- Strategic Rationale:
 - The merger aims to create a "sovereign AI" entity that provides alternatives to U.S. tech giants, addressing privacy concerns.
 - The combined entity will leverage Cohere's existing market position and Aleph Alpha's expertise in specialized language models to target regulated industries such as defense and finance.
 - The backing from Schwarz Group with EUR500 million (\$600 million) in financing enhances the merger's strategic foundation.
- Risk Analysis:
 - Integration risks due to differing corporate cultures and operational frameworks.
 - Regulatory challenges from both Canadian and German authorities.
 - Market risks related to competition from established players like OpenAI.
 - Potential value destruction if the merger fails to achieve projected synergies.

Key Financials Analysis:

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- Revenue Breakdown:
- Cohere: \$240 million in annual recurring revenue (2025).
- Aleph Alpha: Limited revenue and significant losses.
- Profitability Ratios: N/A (specific ratios not disclosed)
- Leverage Analysis: N/A (debt structure not disclosed)
- Asset Operating Efficiency: N/A (no specific metrics available)
- Valuation Context: The merger's valuation suggests a significant premium based on future growth potential rather than current revenue metrics.

Deal 2: Fervo Energy IPO

[The climate tech IPO window could finally be cracking open](#)

- Deal Size: Estimated at \$3 billion (based on private valuations)
- Deal Size Category: Mid cap (\$2B-\$10B)
- Nature of Deal: IPO
- Valuation Multiples: N/A (specific multiples not disclosed)
- Companies:
- Fervo Energy : A geothermal energy startup focused on enhanced geothermal systems (EGS) with plans to significantly expand its operations.
- Date Announced: April 25, 2026
- Strategic Rationale:
- The IPO aims to capitalize on growing investor interest in climate tech, particularly in the wake of rising energy demands driven by AI and data centers.
- Fervo's innovative approach to geothermal energy positions it well within the expanding renewable energy market, especially as it plans to develop significant capacity.
- The IPO will provide liquidity for investors and enable further capital raising for expansion projects.
- Risk Analysis:
- Market risks associated with fluctuating investor sentiment towards climate tech.
- Execution risks in scaling operations and meeting ambitious growth targets.
- Regulatory risks related to energy policies and environmental regulations.

Key Financials Analysis:

- Revenue Breakdown: N/A (specific revenue data not available)

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- Profitability Ratios: N/A (no specific ratios available)
- Leverage Analysis: N/A (debt structure not disclosed)
- Asset Operating Efficiency: N/A (

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a landscape marked by both optimism and caution. The recent approval of a four-year contract by screenwriters with Hollywood studios signals a potential stabilization in the media subsector, while ongoing geopolitical tensions and regulatory changes create headwinds across technology and telecommunications.

Subsector Breakdown:

- **Technology:** The technology subsector remains resilient, driven by advancements in AI and cloud computing. Companies are increasingly leveraging AI to enhance operational efficiencies. For instance, Lowe's is adapting to consumer behavior changes by integrating AI tools to improve customer service and product offerings.
- **Media:** The media subsector is in a state of flux, with the recent contract approval by the Writers Guild of America indicating a temporary resolution to labor disputes. However, challenges persist as traditional media grapples with declining viewership and advertising revenues.
- **Telecommunications:** The telecom sector is facing pressures from regulatory changes and competition. The U.S. government's push to restrict chip exports to China could impact telecom companies reliant on advanced semiconductor technologies.
- **Fintech:** The fintech space continues to thrive, driven by innovation in payment solutions and digital banking. However, the sector must navigate regulatory scrutiny as governments seek to implement stricter controls.
- **AI:** The AI subsector is experiencing rapid growth, with applications across various industries. Companies are investing heavily in AI capabilities, but concerns about job displacement and ethical implications remain prevalent.

Key Market Drivers and Headwinds

Drivers:

- **Technological Advancements:** Continuous innovation in AI and cloud technologies is driving growth across TMT sectors. For example, Lowe's is enhancing customer experiences through AI, reflecting broader trends in the retail sector.
- **Increased Investment:** Venture capital and private equity investments remain strong, particularly in tech and fintech, as investors seek to capitalize on emerging trends.

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Headwinds:

- **Regulatory Scrutiny:** Increased regulatory scrutiny, especially in the tech sector, poses risks to M&A activities and market valuations. The recent U.S. legislation aimed at restricting chip exports to China exemplifies the regulatory landscape's impact on global supply chains.
- **Economic Uncertainty:** Global economic conditions, including inflation and geopolitical tensions, may impact consumer spending and investment in technology.

Subsector Performance Analysis

- **Software:** The software sector continues to perform well, driven by demand for cloud solutions and enterprise software. Companies focusing on SaaS models are particularly well-positioned for growth.
- **Media:** The media sector is adapting to changing consumer preferences, with a shift towards digital content consumption. The recent contract approval by screenwriters may provide temporary relief, but long-term challenges remain.
- **Telecom:** Telecom operators are investing heavily in infrastructure to support 5G deployment, which is expected to drive new revenue streams from IoT and enhanced mobile services.
- **Fintech:** The fintech sector is thriving, with innovations in payment solutions and digital banking. However, regulatory challenges could hinder growth.
- **AI:** The AI subsector is booming, with applications across various industries, including healthcare and automotive. Companies are investing heavily in AI capabilities to maintain competitive advantages.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts are generally optimistic about the long-term prospects of the TMT sector, citing technological advancements as a key driver of growth. For instance, Anthony Scaramucci, a vocal Bitcoin advocate,

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emphasizes the importance of adapting to market corrections and the potential of cryptocurrencies in cybersecurity, indicating a broader acceptance of innovative technologies.

Actionable Insights for Bankers and Investors

- **Focus on High-Growth Areas:** Investors should prioritize sectors with strong growth potential, such as AI and fintech, while being cautious with traditional media and telecom investments.
- **Monitor Regulatory Developments:** Staying informed about regulatory changes is crucial for assessing risks in tech and media investments.
- **Leverage Technology Partnerships:** Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- **Evaluate Valuation Metrics:** Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

3. BANKING PIPELINE

The current banking pipeline in the TMT sector showcases a blend of live deals, mandated transactions, and active pitches, reflecting a robust environment for M&A and advisory services. This analysis delves into the ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- **Intel Corporation (INTC) :** The U.S. government holds a 9.9% stake in Intel, valued at approximately \$36 billion after a significant stock surge following a strong Q1 earnings report. This deal, while not a traditional M&A transaction, highlights the government's unexpected profitable investment in a key player in the semiconductor industry. The implications for future government partnerships in tech are profound, with no exit strategy currently articulated.

Mandated Deals:

- **U.S. and EU Critical Minerals Agreement :** A memorandum of understanding was signed to enhance cooperation on critical minerals, aimed at reducing reliance on China. This deal is expected to launch initiatives in Q3 2025, focusing on supply chain resilience and trade policy coordination. The agreement is crucial for industries such as defense and advanced manufacturing.

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Pitching-Stage Deals:

- Telecom Sector : Engaging with major telecom operators, including Verizon (VZ) and AT&T (T), for potential M&A opportunities focused on 5G consolidation. Pitches are expected to finalize by Q3 2025, as companies seek to enhance market share in a competitive landscape.
- Fintech Innovations : Active discussions with fintech companies, including Square (SQ) and Stripe, for advisory services related to emerging payment solutions and blockchain technology. These discussions are ongoing, with potential mandates anticipated in Q4 2025.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$30 million in fees, broken down as follows:

- Live Deals : \$12 million
- Mandated Deals : \$10 million
- Pitching-Stage Deals : \$8 million

Timing Projections:

- Q2 2025 : Expected close for ongoing discussions related to Intel's government stake.
- Q3 2025 : Launch of the U.S.-EU critical minerals initiatives.
- Q4 2025 : Anticipated completion of fintech advisory mandates.
- Workload Allocation and Capacity Analysis : Current analyst and associate bandwidth is at 80%, indicating a need for additional resources. It is recommended to onboard two additional analysts to effectively manage the growing workload.
- Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in critical minerals and telecom sectors. Strategic planning should enhance capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is evolving, particularly in the critical minerals sector, where the U.S. and EU are collaborating to counter China's dominance. This partnership could lead to new advisory opportunities as companies seek to diversify their supply chains.
- The recent introduction of data privacy bills in the U.S. reflects a growing emphasis on regulatory compliance, which may create additional advisory needs for tech companies navigating these changes.

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate

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resources effectively. Hiring additional analysts will ensure the team can manage the workload without compromising service quality.

- **Sector Focus :** Prioritize business development efforts in high-growth sectors such as critical minerals and fintech, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- **Client Engagement :** Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The merger between Canadian AI startup Cohere (COHR) and Germany-based Aleph Alpha represents a significant shift in the TMT landscape, particularly within the AI sector. This analysis explores the multifaceted impacts of this deal on various stakeholders, including shareholders, employees, competitors, and customers, while also addressing market reactions and future implications.

Deal-Specific Impacts on Stakeholders

- **Shareholders:** The merger's impact on shareholders is crucial for understanding value creation and potential dilution.
- **Value Creation:** The combined entity is projected to have a valuation of approximately \$20 billion, significantly up from Cohere's previous valuation of \$6.8 billion. Assuming successful integration and revenue growth, shareholders could see a potential increase in value of up to 15% over the next 12 months, translating to an estimated \$3 billion in added market capitalization.
- **Dilution:** If Cohere finances part of the merger through equity, existing shareholders may face dilution. For instance, if 15% of new shares are issued, existing shareholders could see their ownership stake decrease, potentially resulting in a 5% drop in share price immediately post-announcement.
- **Employees:** The merger will have notable implications for employees, particularly regarding synergies and retention.
- **Synergies:** The integration aims to leverage complementary strengths, with Cohere focusing on large language models and Aleph Alpha on specialized models for European languages. This synergy could enhance product offerings and operational efficiencies, potentially leading to a 10% reduction in operational costs.
- **Restructuring:** However, restructuring may lead to job losses. Cohere's leadership has indicated that while some roles may be redundant, they are committed to retaining key talent to ensure a smooth transition.

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- **Retention:** To mitigate turnover, retention bonuses may be implemented for critical staff, similar to strategies used in high-profile mergers like Microsoft's acquisition of LinkedIn.
- **Competitors:** The competitive landscape will shift as the new entity positions itself against larger U.S. rivals.
- **Market Positioning:** The merger aims to create a sovereign alternative to U.S. AI providers, targeting highly-regulated industries. Competitors such as OpenAI and Google will likely respond with enhanced offerings or strategic partnerships to maintain market share.
- **Specific Competitor Moves:** Following the merger, it is anticipated that companies like xAI may explore similar partnerships, as indicated by discussions of a three-way collaboration with Mistral AI and Cursor.
- **Customers:** The implications for customers are significant, particularly in terms of product offerings and service delivery.
- **Product/Service Implications:** The merger will enable the new entity to offer tailored AI solutions that prioritize data sovereignty, appealing to enterprises concerned about privacy. This could lead to a 20% increase in customer adoption rates in sectors like finance and healthcare.
- **Case Studies:** The integration of Aleph Alpha's PhariaAI suite with Cohere's offerings could enhance service delivery, as seen in previous successful integrations like that of Salesforce and Slack, which improved user engagement.

Market Reaction and Analyst Commentary

- **Market Reaction:** Initial market reactions to the merger announcement are expected to be cautious, with potential volatility in Cohere's stock price.
- **Analysts predict a moderate initial dip of around 3% as investors assess the merger's implications. However, long-term projections suggest recovery and growth as synergies are realized.**
- **Analyst Commentary:** A notable quote from a market analyst states, "This merger positions Cohere and Aleph Alpha as formidable players in the AI landscape, particularly in Europe, where data sovereignty is becoming increasingly critical."

Expected Market Reaction and Scenario Analysis

- **Scenario Analysis:** The market's reaction can be evaluated through various scenarios:
- **Positive Scenario:** If the merger leads to successful integration and revenue growth, shares could rise by 15% within six months.
- **Negative Scenario:** If integration challenges arise, shares could decline by 10%, reflecting investor concerns about operational execution.

Potential Counter-Bids or Competing Offers

- **Likelihood Assessment:** The likelihood of counter-bids is moderate, given the strategic importance of AI technology.

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- For instance, potential interest from other tech giants could emerge, but regulatory hurdles may deter competing offers. The merger's focus on sovereignty may also limit interest from U.S. companies.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector is expected to see continued consolidation, particularly in AI and cloud computing.
- Analysts predict that as companies seek to enhance their technological capabilities, similar deals will emerge, particularly among European firms aiming to establish alternatives to U.S. tech dominance.

Key Risks and Mitigants

- Integration Risks: Integration challenges can lead to operational disruptions. Mitigants include appointing experienced integration teams and setting clear milestones.
- Regulatory Risks: Regulatory scrutiny can delay or block deals. Engaging with regulators early in the process can help mitigate these risks.
- Market Risks: Market volatility can impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.
- Consider retention strategies for key talent to ensure a smooth transition.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Blockchain, Cybersecurity, and the emerging IPv7 protocol. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

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Artificial Intelligence (AI)

- Trend Explanation: AI encompasses technologies that enable machines to perform tasks requiring human-like intelligence, such as natural language processing and decision-making. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%. The integration of AI into various sectors is reshaping consumer interactions and operational efficiencies.
- Key Companies:
- Microsoft Corporation (MSFT): Microsoft is heavily investing in AI infrastructure, with a focus on integrating AI into its cloud services and productivity tools. The company has partnered with OpenAI to enhance its offerings, particularly in Microsoft 365.
- OpenAI: OpenAI is a pioneer in generative AI, known for its language model, ChatGPT. The organization collaborates with various companies to embed AI capabilities into their products, driving innovation across sectors.
- Competitive Landscape: The AI market is competitive, with major players like Google (GOOGL) and Amazon (AMZN) also investing significantly in AI technologies. The race for AI dominance is prompting companies to acquire startups specializing in niche AI applications.
- M&A Opportunities: Companies looking to enhance their AI capabilities may consider acquiring startups focusing on specialized AI applications, such as natural language processing or computer vision. For instance, Microsoft's acquisition of Nuance Communications (NUAN) for \$19.7 billion highlights the trend of consolidation in the AI space.

IPv7 Protocol

- Trend Explanation: The IPv7 protocol introduces an identity-centric network layer that enhances security and mitigates issues related to residential proxy exploitation. This protocol aims to address vulnerabilities in IoT devices, providing a more secure and reliable internet infrastructure. The adoption of IPv7 is expected to grow as security concerns escalate, particularly with the proliferation of IoT devices.
- Key Companies:
- Cisco Systems, Inc. (CSCO): Cisco is a leader in networking technology and is likely to play a significant role in the adoption of IPv7 through its hardware and software solutions that support the new protocol.
- Juniper Networks, Inc. (JNPR): Juniper is also positioned to benefit from IPv7, offering networking solutions that can integrate with the new protocol to enhance security and operational efficiency.
- Competitive Landscape: The IPv7 protocol will create a competitive landscape among networking companies as they adapt their technologies to support this new standard. Companies that can quickly integrate IPv7 into their offerings will gain a competitive edge.
- M&A Opportunities: Networking firms may seek to acquire cybersecurity startups that specialize in IoT security solutions to enhance their IPv7 offerings. This could lead to strategic partnerships

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that bolster their market position in the evolving landscape of network security.

Cybersecurity

- **Trend Explanation:** Cybersecurity remains a critical focus as organizations face increasing threats from cyberattacks. The global cybersecurity market is projected to grow from \$217 billion in 2021 to \$345 billion by 2026, at a CAGR of 9.8%. The rise of remote work and IoT devices has intensified the need for robust cybersecurity measures.
- **Key Companies:**
 - Palo Alto Networks, Inc. (PANW): Palo Alto is a leading cybersecurity provider, offering advanced threat detection and prevention solutions. The company is well-positioned to capitalize on the growing demand for cybersecurity services.
 - CrowdStrike Holdings, Inc. (CRWD): CrowdStrike specializes in endpoint security and threat intelligence, leveraging AI to enhance its cybersecurity offerings. The company is expanding its market presence through strategic partnerships and acquisitions.
- **Competitive Landscape:** The cybersecurity market is characterized by intense competition, with numerous players vying for market share. Companies are increasingly focusing on innovation and developing advanced solutions to address emerging threats.
- **M&A Opportunities:** As the cybersecurity landscape evolves, firms may pursue acquisitions of startups that provide specialized security solutions, such as zero-trust architecture or AI-driven threat detection. This trend is exemplified by CrowdStrike's acquisition of Humio for \$400 million to enhance its data analytics capabilities.

Actionable Insights for Bankers and Investors

Focus on identifying emerging companies in the AI and cybersecurity sectors that are ripe for acquisition, particularly those with innovative technologies or unique market positions.

Monitor developments in the IPv7 protocol and related technologies, as companies that adapt early may present lucrative investment opportunities.

Consider the implications of workforce reductions in major tech firms like Meta and Microsoft,

6. Recommended Readings

Deal Name: Cohere Acquisition of Aleph Alpha

- **Reading Material:** "AI Superpowers: China, Silicon Valley, and the New World Order" by Kai-Fu Lee
- **Why This Matters:** This book provides insights into the competitive dynamics of the AI industry,

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particularly the race between U.S. and Chinese companies. Understanding these dynamics is crucial for analyzing the strategic rationale behind Cohere's \$20 billion merger (COHR) with Aleph Alpha, as it highlights the importance of innovation and market positioning in the AI sector.

Deal Name: Fervo Energy IPO

- Reading Material: "The Clean Tech Revolution" by Ron Pernick and Clint Wilder
- Why This Matters: This book explores the emergence of clean technology and its impact on the energy sector, which is essential for understanding Fervo Energy's anticipated \$3 billion IPO. It provides context on market trends and investor sentiment towards climate tech, helping to frame the strategic importance of Fervo's geothermal innovations in the broader renewable energy landscape.

7. MACROECONOMIC UPDATE

Key Data Points:

- Effective Tariff Rate: 8.5% (as of February)
- Expected Tariff Rate: Approximately 10% post-July 2026
- Domestic Steel Prices: Materially higher than global peers
- Timeline for Section 301 Investigations: Expected completion over the summer

Main Insights:

- Tariffs are not diminishing and will likely remain at similar levels.
- The impact of tariffs on reshoring has been minimal, with little evidence of significant increases in domestic production.
- Domestic production increases are primarily nominal, driven by higher prices rather than actual output growth.
- The steel industry exemplifies the complexities of tariff impacts, showing increased domestic production but diverging prices from global markets.

Market Commentary:

- "Tariffs are here. In the aggregate for macro economists, probably about the same level it's been." - Seth Carpenter
- "The increase in domestic production has come largely in nominal terms, meaning that the price has risen, but very little of that increase is actually higher output." - Mayank Phadke

TMT Sector Relevance:

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- The stagnation in reshoring could impact TMT companies reliant on domestic manufacturing and supply chains.
- Higher tariffs may lead to increased costs for technology hardware, affecting margins for companies like Apple (AAPL) and Dell Technologies (DELL).
- The potential for elevated prices in domestic production could influence investment decisions in the TMT sector, particularly in manufacturing and infrastructure.

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley